

Protecting Your Assets Abroad

Succession and Asset Protection for a Cross-Border Life

There is a point in a lot of these financial lives where the underlying question changes shape entirely: from how do I get paid, to how do I make sure this survives me, a lawsuit, a divorce, or a currency collapse back home. This guide walks through Panama's Private Interest Foundation, the vehicle built specifically for that stage.

Contents

- 01** When the Question Changes Shape
- 02** What a Private Interest Foundation Actually Does
- 03** Succession and Asset Protection Are Different Problems
- 04** Which Version of This Is Actually You
- 05** Getting This Looked At Properly

General information only, not legal, tax, or financial advice. See the closing note.

SECTION 01

When the Question Changes Shape

There is a point in a lot of these financial lives where the underlying question changes shape entirely. Early on, the question is almost always about income: how do I get paid, how do I avoid overpaying tax, how do I keep this simple. Years later, for people who have built something real, a profitable business, a portfolio of investments, property in more than one country, the question becomes something else altogether: how do I make sure this survives me, a lawsuit, a divorce, or a currency collapse back home.

This shift rarely announces itself. Nobody wakes up one morning and decides they have entered the asset-protection phase of their life. It creeps up alongside a growing balance sheet, a business you no longer run day to day but still own on paper, or simply getting old enough that succession stops being a someday concern and starts being an actual one.

Cross-border wealth in particular faces two distinct categories of risk over time. The first is the gradual erosion that comes from poorly-designed succession, assets that pass to the wrong people on the wrong terms, or that lose meaningful value in transit through inefficient tax treatment or contested probate. The second is the more dramatic risk that wealth simply doesn't survive, claims, judgments, political instability, currency controls, economic collapse in the wrong jurisdiction at the wrong time. Structures designed for both look different from structures designed for either alone.

SECTION 02

What a Private Interest Foundation Actually Does

Panama has a legal vehicle built specifically for this stage: the Private Interest Foundation, or PIF. It is not a company, and it is not designed for day-to-day trading or invoicing. It is the civil-law equivalent of a trust, with separate legal personality: assets are held by the foundation, kept separate from your personal name and separate from any operating business, and passed on according to terms you set in advance, without triggering the kind of cross-border probate process that can otherwise tie up an estate across two or three legal systems for years at a time.

The practical benefits show up well before anyone actually dies. Holding an operating business at arm's length inside a structure like this means a lawsuit against the business, or against you personally, has a much harder time reaching assets you deliberately kept separate from it. It gives you a real hedge against political or currency instability in whichever country you or your family call home, because the structure and its assets do not automatically move with a change in government or a sudden currency collapse. And it addresses succession directly: assets held inside a properly constituted foundation can pass to the people you intend, on the terms you set, without every jurisdiction's probate court needing to sign off independently first.

None of this is retail-shelf simple, and it should not be treated that way. A foundation, built properly, needs licensed counsel who genuinely understands both the Panamanian side and whatever else applies to your specific mix of citizenship, assets, and family circumstances. A foundation assembled carelessly, or bought as a generic template, can create as many problems as it solves.

SECTION 03

Succession and Asset Protection Are Different Problems

Succession planning and asset protection share most of the same vehicles, trusts, foundations, holding companies, wills, but they're aimed at different problems, and understanding the distinction matters, because structures designed only for one purpose often fail at the other.

Succession planning is about how wealth passes across generations: who inherits and on what terms, how forced-heirship rules are handled where they apply (most of civil-law Europe reserves specific portions of an estate for specific family members, overriding testamentary intent), how minor or vulnerable beneficiaries are protected, and how tax inefficiencies at the transfer event are minimised.

Asset protection is about whether wealth survives the present: how it's shielded from foreseeable legal claims, commercial disputes, professional liability, divorce, contested business sales, how it's protected from political risk in jurisdictions where the rule of law is uncertain, and how currency, banking, and asset concentration are diversified against country-specific economic risk.

A well-designed structure does both at once, because the same structural separation that achieves clean succession also achieves meaningful asset protection.

An important boundary worth being clear about: properly designed asset protection structures work against foreseeable, ordinary-course risks that haven't yet crystallised. A trust or foundation established today protects against tomorrow's potential litigation; one established the day a claim is filed almost certainly doesn't. The legal doctrine of fraudulent conveyance, and equivalent civil-law principles, allow courts to set aside transfers made specifically to evade a known creditor. Structures built this way are

meant to withstand legitimate scrutiny precisely because they were established appropriately in advance, not to defeat existing claims or to shield income from tax legitimately owed.

SECTION 04

Which Version of This Is Actually You

Everything above applies differently depending on where you actually sit, and it is worth being honest about which profile fits before assuming you need the most complicated version of any of it.

Profile	What usually fits	Roughly what it involves
Solo remote professional ~\$50K to \$150K/yr	Personal residency, no structure yet	Main goal is a legitimate low-maintenance base. Asset protection usually isn't the priority yet.
Contractor or small operator ~\$150K to \$500K/yr	Entity plus basic estate planning	A growing business and some accumulated savings. Wills and powers of attorney across jurisdictions usually come before a full foundation.
HNW individual or family ~\$400K to \$1M+/yr	Entity plus foundation, family succession plan	Meaningful accumulated assets, a business no longer run day to day, succession on the mind. A two-layer structure: operating entity plus a Private Interest Foundation.

Illustrative only, meant to give a real sense of scale rather than a quote for your situation.

A quick self-check

- ☐ Do you hold savings, property, or a business in more than one country?
- ☐ Do you have any plan at all for what happens to your accounts or assets if something happens to you?
- ☐ Does your estate touch a civil-law country with forced-heirship rules?
- ☐ Do you have wills in more than one jurisdiction, and do they actually agree with each other?

- ☐ Has a licensed professional, not a forum thread, ever actually looked at your specific situation?
-

Two or more "yes" answers is a reasonable signal that a real conversation, not another search, is worth having.

SECTION 05

Getting This Looked At Properly

Interested in speaking with a professional who can guide you on this?

Click below to speak with Catalina, tell her you'd like to speak with someone about protecting your assets and succession planning.

Talk to Catalina →

Mike Chartrand

Colombian City Guides

barranquilla.guide · medellin.guide · thecartagena.guide